

SENATE BILL 1579

By Walley

AN ACT to amend Tennessee Code Annotated, Title 50,
Chapter 6, relative to workers' compensation.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 50, Chapter 6, Part 9, is amended by adding the following as a new section:

(a) This section is known and may be cited as the "Zero Estimated Exposure Policy Act."

(b) As used in this section, "zero estimated exposure policy" means a policy of insurance that a construction services provider obtains to cover the construction services provider's liability to pay compensation under this chapter after reporting the total estimated exposure is zero (0).

(c)

(1) If a construction services provider obtains a zero estimated exposure policy, the construction services provider must provide written notification to all entities it directly contracts with to provide or perform building construction or improvement services of the construction services provider's total estimated exposure of zero (0) and provide a copy of the policy.

(2) When an entity receives the notification required by subdivision (c)(1), the entity must maintain the written notification and policy provided for three (3) years from the date the notification and policy were received.

(3) A homeowner contracting for the construction of a single-family residence or improvements to the homeowner's primary residence is not required to retain the written notification required by subdivision (c)(1).

(d) Each insurer shall require with or as part of each completed application for a zero estimated exposure policy a statement signed by the applicant attesting to the accuracy of the information on the application, including the applicant's absence of employees and estimated exposure of zero (0). The attestation must include the following statement:

I attest that all information provided on this application is current, true, correct, accurate, and complete to the best of my knowledge and belief. I further attest that I have no employees and an estimated exposure of zero (0). If during the policy period I employ any employees or otherwise have an exposure greater than zero (0), I must provide within sixty (60) days of such change written notification to my workers' compensation insurer that includes estimated payroll and classification codes. I understand that omissions or misrepresentations with intent to defraud on this application are a crime under Tennessee Code Annotated, Section 56-47-103 and a violation of Tennessee Code Annotated, Section 56-47-104.

SECTION 2. Tennessee Code Annotated, Section 50-6-421(b), is amended by adding the following as a new subdivision:

(4) For construction services providers as defined in § 50-6-901, the construction services provider's total estimated exposure amount for a zero estimated exposure policy and the construction services provider's reported classification codes for a zero estimated exposure policy.

SECTION 3. This act takes effect July 1, 2027, the public welfare requiring it.